

25CV03788 Partners Personnel - Management Services, LLC vs Pan-Oceanic Eyewear, LTD et al

County: santa-barbara

Division: Civil Law & Motion

Department: 4 SB-Anacapa

Hearing date: 2026-06-12

Motion: Motion: Judgment; Entry of Judgment

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Fri, 06/12/2026 - 10:00

Nature of Proceedings

Motion: Judgment; Entry of Judgment

Tentative Ruling

For the reasons stated herein, the motion of plaintiff to enter judgment pursuant to stipulation for entry of judgment is denied, without prejudice.

Background:

As alleged in the complaint of plaintiff Partners Personnel – Management Services, LLC:

Plaintiff, who is headquartered in Santa Barbara, California, is in the business of providing temporary labor to businesses. (Complaint, ¶¶ 1, 7.) Pan-Oceanic Group, LLC, (Pan Oceanic) is an inactive company doing business in Hayward, California. (Complaint, ¶ 2.) Pan-Oceanic Eyewear, LTD, (Pan Eyewear) is a subsidiary, affiliate, or division of Pan Oceanic.

(Complaint, ¶ 3.) Pan Oceanic and Pan Eyewear (collectively, Defendants) are in the business of manufacturing and selling eyewear. (Complaint, ¶ 6.)

On January 14, 2025, Pan Oceanic and its subsidiaries, affiliates, and divisions, entered into a written agreement with plaintiff (the Agreement) for the provision of staffing services. (Complaint, ¶ 6 & exhibit A.) Between February 2025 and May 2025, Pan Eyewear utilized plaintiff's temporary labor for its warehouse operations. (Complaint, ¶ 8.) Plaintiff paid the wages, taxes, benefits, and workers compensation premiums for that labor in reliance on Defendants' agreement to pay plaintiff for those services. (Ibid.) Invoice payments were due to plaintiff no later than thirty days of invoice, and the Agreement provides that Defendants shall pay a 7 percent late fee on invoices which were not paid within five days of their due date. (Complaint, ¶ 9.)

Despite repeated verbal and written demands for payment, Defendants failed to pay for the services provided by plaintiff between February 2025 and May 2025. (Complaint, ¶¶ 8 & 10.) The Agreement stipulates that if invoices become past due, the full outstanding balance shall become immediately due and payable. (Complaint, ¶ 9.) In addition, the Agreement states that if plaintiff prevails in a collection action, Defendants shall pay all costs associated with collection, including attorneys' fees, court costs, and pre and post judgment interest at the greater of 18 percent per annum or the maximum legal rate. (Ibid.) The outstanding amount owed to plaintiff by Defendants is \$37,676.73, exclusive of collection costs, attorneys' fees, and interest. (Complaint, ¶ 10.)

Plaintiff filed their complaint against Defendants on June 17, 2025, asserting three causes of action: (1) breach of contract; (2) nonpayment on an open book account; and (3) nonpayment on an account stated.

On September 15, 2025, plaintiff filed a notice of conditional settlement of the entire case.

On February 23, 2026, plaintiff filed a motion for an order to enter judgment against Defendants. That motion is made on the grounds that plaintiff and Defendants entered into settlement agreement under which Defendants agreed to make weekly payments to plaintiff in return for a release of liability upon full satisfaction of the debt, which Defendants have breached by defaulting on the payment plan.

In support of the motion, plaintiff's counsel, Cheryl A. Canty (attorney Canty), states that in August 2025, plaintiff and Defendants agreed to settle the case for the sum of \$30,000, payable in equal weekly installments of \$1,500 until paid in full. (Canty Dec., ¶ 3.) The settlement terms are memorialized in a "Settlement Agreement and Release" (the Settlement Agreement) between the parties, a copy of which is attached to attorney Canty's declaration. (Canty Dec., ¶ 4, attachment 1.) The Settlement Agreement also provides for a "Stipulation for Entry of Order re: Court's Retention of Jurisdiction Pursuant to California Code of Civil Procedure Section 664.6" (the Stipulation) in the event of default, a copy of which is also attached to attorney Canty's declaration. (Canty Dec., ¶ 4, attachment 2.)

Attorney Canty further states that the first installment payment was due on August 22, 2025, and was not received by plaintiff until September 12, 2025, which is the date on which the fourth installment was due. (Canty Dec., ¶ 3, 5.) The second installment payment was received on October 6, 2025, after the date the seventh installment was due. (Canty Dec., ¶ 5.)

On December 3, 2025, attorney Canty notified Defendants that they were in default and thereafter, agreed not to enforce the default or engage in collection efforts as long as Defendants made weekly payments of \$1,500 in December 2025 and weekly payments of \$3,000 in January 2026. (Canty Dec., ¶ 8.) Defendants made a payment of \$1,500 on December 8, 2025, and a payment of \$1,500 on December 17, 2025, but did not make a timely payment on December 24 or December 31, 2025, and did not make any weekly payments in January 2026. (Ibid.) The last payment plaintiff received from Defendants was \$1,500 on January 5, 2026. (Canty Dec., ¶ 9.)

Attorney Canty asserts that Defendants made 7 of the 20 installment payments due to plaintiff, in the total amount of \$10,500. (Canty Dec., ¶ 9.) The outstanding balance owed to plaintiff under the Settlement Agreement is \$19,500. (Ibid.) Attorney Canty states that the prejudgment interest on the unpaid balance owed to plaintiff from the date of the default on

December 24, 2025, through June 12, 2026, is \$908.23, based on interest at the legal rate of 10 percent per annum. (Canty Dec., ¶ 10.) The total amount of the unpaid balance owed by Defendants pursuant to the Settlement Agreement is \$22,051.68, inclusive of interest, costs, and fees. (Canty Dec., ¶ 13.)

As of this writing, Defendants have not filed with the court any opposition to the motion of plaintiff.

Analysis:

Code of Civil Procedure section 664.6 provides: "If parties to pending litigation stipulate, in a writing signed by the parties outside of the presence of the court or orally before the court, for settlement of the case, or part thereof, the court, upon motion, may enter judgment pursuant to the terms of the settlement. If the parties to the settlement agreement or their counsel stipulate in writing or orally before the court, the court may dismiss the case as to the settling parties without prejudice and retain jurisdiction over the parties to enforce the settlement until performance in full of the terms of the settlement." (Code Civ. Proc., § 664.6, subd. (a).)

The Settlement Agreement and Stipulation attached to attorney Canty's declaration were ostensibly signed by the "CEO" of Defendants, Joseph Terzi, on August 19, 2025, and signed by plaintiff's "CEO" Paul Sorensen on August 27, 2025. (Canty Dec., attachment 2 at pdf pp. 9-10 & 16-17.) For these reasons, the motion is, for present purposes, sufficient to show a writing signed by plaintiff and by Defendants for settlement of this case. (Code Civ. Proc., § 664.6, subd. (b)(1).)

The Settlement Agreement provides that Plaintiff and Defendants "shall execute a Stipulation to request the Court to retain jurisdiction of the Action pursuant to California Code of Civil Procedure §664.6...." (Canty Dec., attachment 1 at pdf p. 6, ¶ 3, original unchanged.) Pursuant to the Stipulation, plaintiff and Defendants stipulate that the court "retains jurisdiction over this Action to enforce all terms of the Settlement Agreement pursuant to CCP Section(s) 664.6." (Canty Dec., attachment 2 at pdf p. 15, ¶ 1, original unchanged.)

"The retention of jurisdiction pursuant to [Code of Civil Procedure] section 664.6 is intended to allow the court to ensure all parties perform pursuant to a settlement agreement that results in a dismissal of a lawsuit. [Citation.] Section 664.6 generally allows a court to enter judgment pursuant to a settlement agreement despite the dismissal of the complaint, which ordinarily deprives the court of continuing jurisdiction." (Howeth v. Coffelt (2017) 18 Cal.App.5th 126, 134.) "The court's retention of jurisdiction under section 664.6 includes 'jurisdiction over both the parties and the case itself, that is, both personal and subject matter jurisdiction.' [Citation.]" (Lofton v. Wells Fargo Home Mortgage (2014) 230 Cal.App.4th 1050, 1061, original italics.)

Relevant here, "[a] court of this state may exercise jurisdiction on any basis not inconsistent with the Constitution of this state or of the United States." (Code Civ. Proc., § 410.10.) For present purposes, the court will, absent a dispute, assume without deciding that there exists a basis for subject matter jurisdiction over the dispute at issue in this case. (Shapell Industries, Inc. v. Superior Court (2005) 132 Cal.App.4th 1101, 1110-1111 [general discussion].)

"In the absence of a voluntary submission to the authority of the court, compliance with the statutes governing service of process is essential to establish that court's personal jurisdiction over a defendant." (Dill v. Berquist Construction Co. (1994) 24 Cal.App.4th 1426, 1439 (Dill).) "Except as otherwise provided by statute, the court in which an action is pending has jurisdiction over a party from the time summons is served on him as provided by Chapter 4 (commencing with Section 413.10)." (Code Civ. Proc., § 410.50, subd. (a); see also Sternbeck v. Buck (1957) 148 Cal.App.2d 829, 832 ["[s]ervice of summons in conformance with the mode prescribed by statute is deemed jurisdictional"].) "A judgment is void for lack of jurisdiction of the person where there is no proper service of process on or appearance by a party to the proceedings." (David B. v. Superior Court (1994) 21 Cal.App.4th 1010, 1016.)

Subject to exception, "the filing of a proof of service creates a rebuttable presumption that the service was proper." (Dill, supra, 24 Cal.App.4th at p. 1441.) Court records reflect that on July 3, 2025, plaintiff filed with the court, a proof of service of, among other documents, the summons and complaint by personal delivery of those documents at the address reflected in

that proof of service. (Jul. 3, 2025, Proof at ¶¶ 4, 5(a).) That proof of service identifies the party served as “Pan-Oceanic Eyewear, LTD”, and the person served on behalf of that entity or as an authorized agent as “Jae Hall” at “CSC Lawyers Incorporating Service”. (Id. at ¶ 3(a), (b).)

Even if the court assumes without deciding that the proof of service described above is sufficient to show valid service of the summons on Pan Eyewear in a manner authorized pursuant to Code of Civil Procedure section 413.10 et seq. (and the court presently makes no findings in this regard), the court has no record showing valid service of the summons and complaint on Pan Oceanic, notwithstanding that motion requests an order entering judgment against that entity.

“A general appearance by a party is equivalent to personal service of summons on such party.” (Code Civ. Proc., § 410.50, subd. (a).) There is also no information or evidence showing that Pan Oceanic made a general appearance in this action, including by seeking affirmative relief or otherwise participating in these proceedings. (Serrano v. Stefan Merli Plastering Co., Inc. (2008) 162 Cal.App.4th 1014, 1029; see also Roy v. Superior Court (2005) 127 Cal.App.4th 337, 341 [general discussion].) The motion also does not explain why the signing of either the Settlement Agreement or the Stipulation by the “CEO” of Pan Oceanic constitutes a general appearance by that defendant in this case. (See also Canaan Taiwanese Christian Church v. All World Mission Ministries (2012) 211 Cal.App.4th 1115, 1127 [same].)

It also appears that the present motion was not served on Pan Oceanic. For example, the proof of service of the motion filed with the court on April 24, 2026, shows that the motion was served on Pan Eyewear. The court has no record showing that the motion was served on Pan Oceanic.

“Knowledge by a defendant of an action will not satisfy the requirement of adequate service of a summons and complaint.” (County of San Diego v. Gorham (2010) 186 Cal.App.4th 1215, 1226.) In circumstances where, such as here, the court’s fundamental personal jurisdiction over a party is lacking, “there is an entire absence of power to hear or determine the case.” (Id. at p. 1225.) For all reasons discussed above, the present record shows or suggests that the court has not acquired personal jurisdiction over Pan Oceanic. The motion fails to show why the court may, under those circumstances, exercise its power to impose or enter judgment against Pan Oceanic or determine the present motion. Therefore, and for these reasons, the court will deny the motion, without prejudice to its refiling upon the satisfaction by plaintiff of the requirements for proper service of process on Pan Oceanic as further discussed herein, or otherwise explaining, with reasoned argument, why the court may exercise its authority under the circumstances present here.

Judges

Judge Donna D. Geck

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